Transitions to Democracy

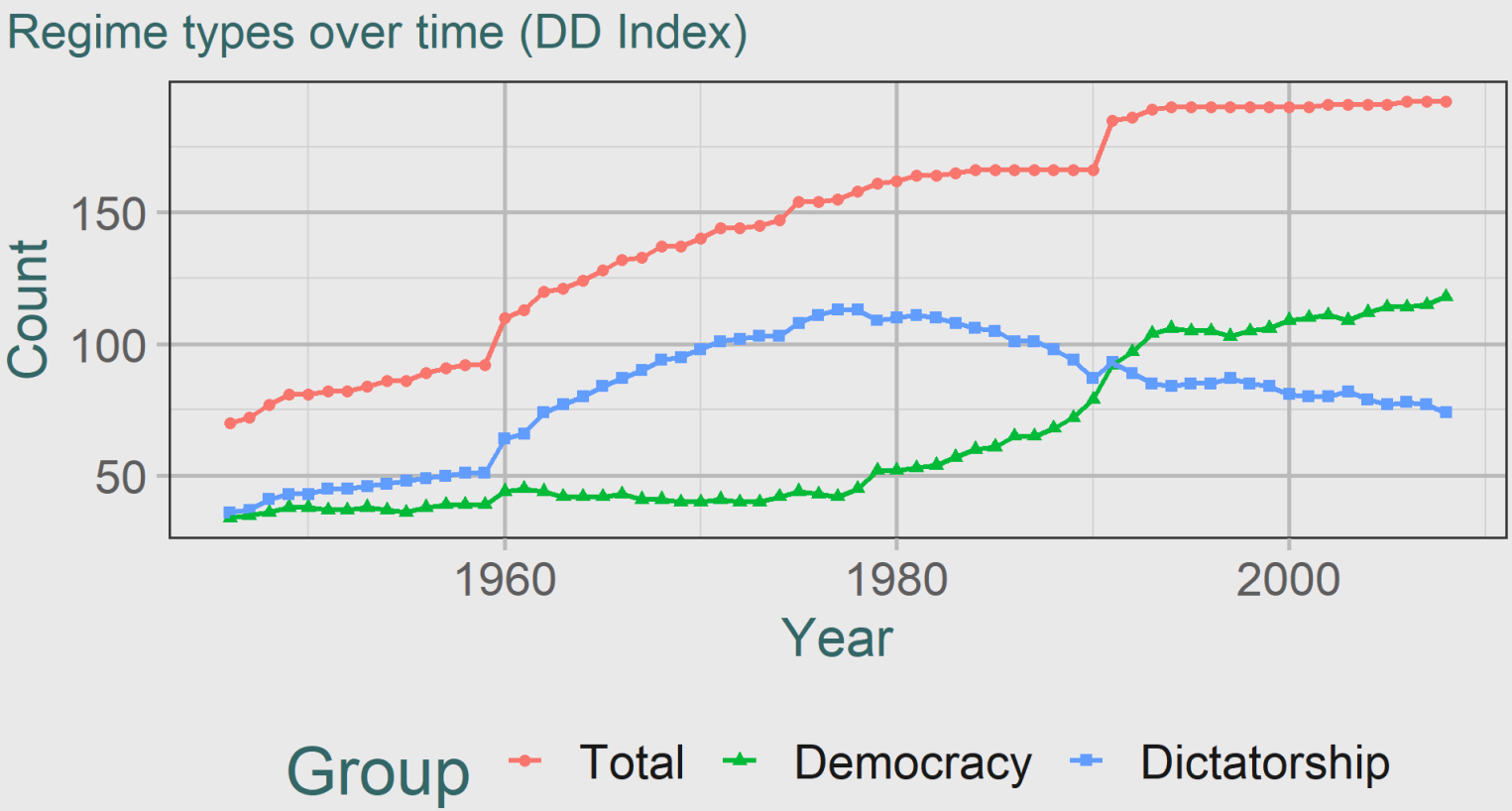
Comparative Politics

October 25-29, 2021

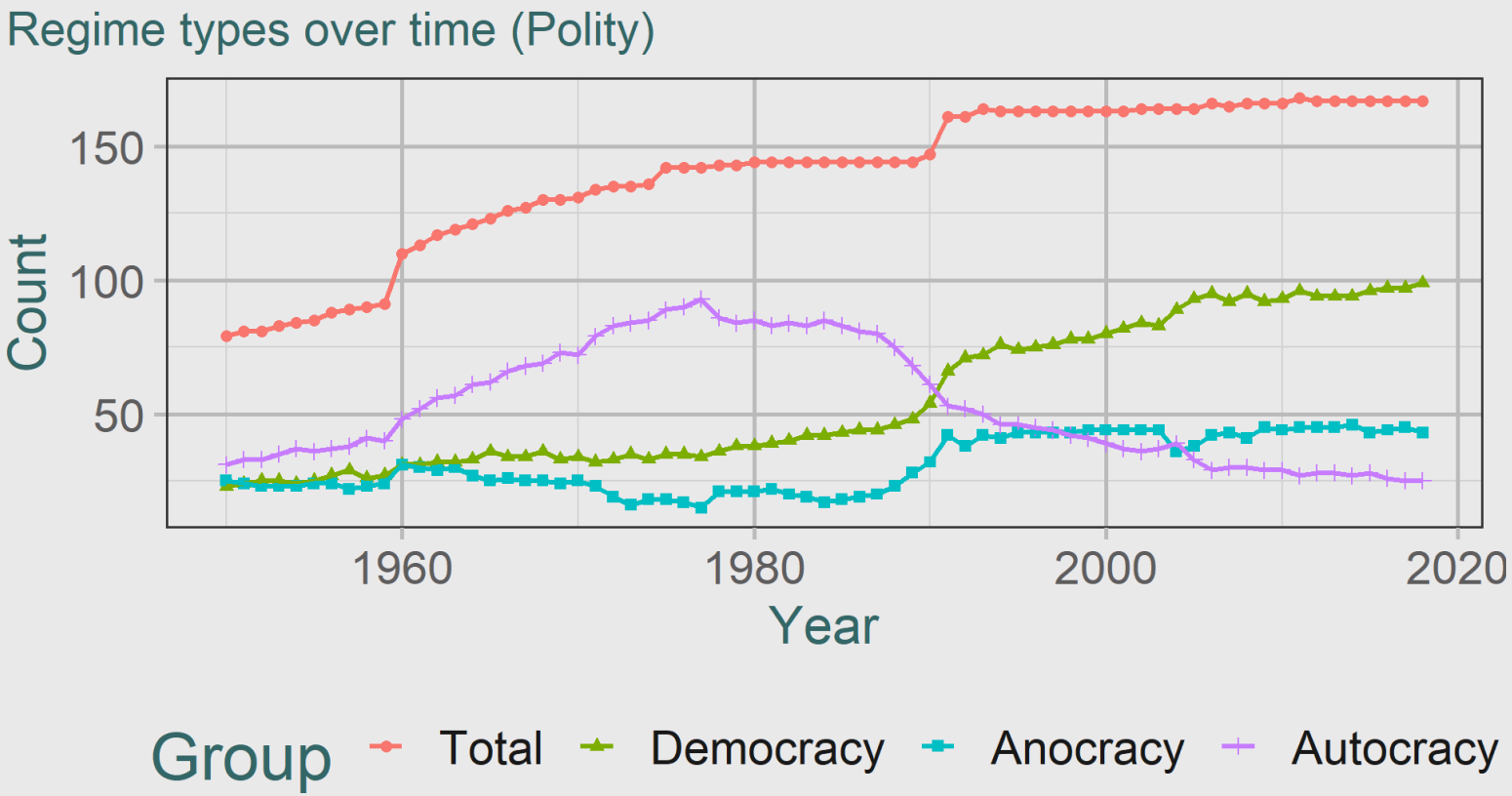
Last time

- We examined the cultural determinants of democracy and dictatorship
- Putting the last few weeks together, we have a sense of what democracy and dictatorship are and where they come from
- But when/how/why do transitions happen?
- **This week:** Focus on transitions to democracy `(for a very good reason)`

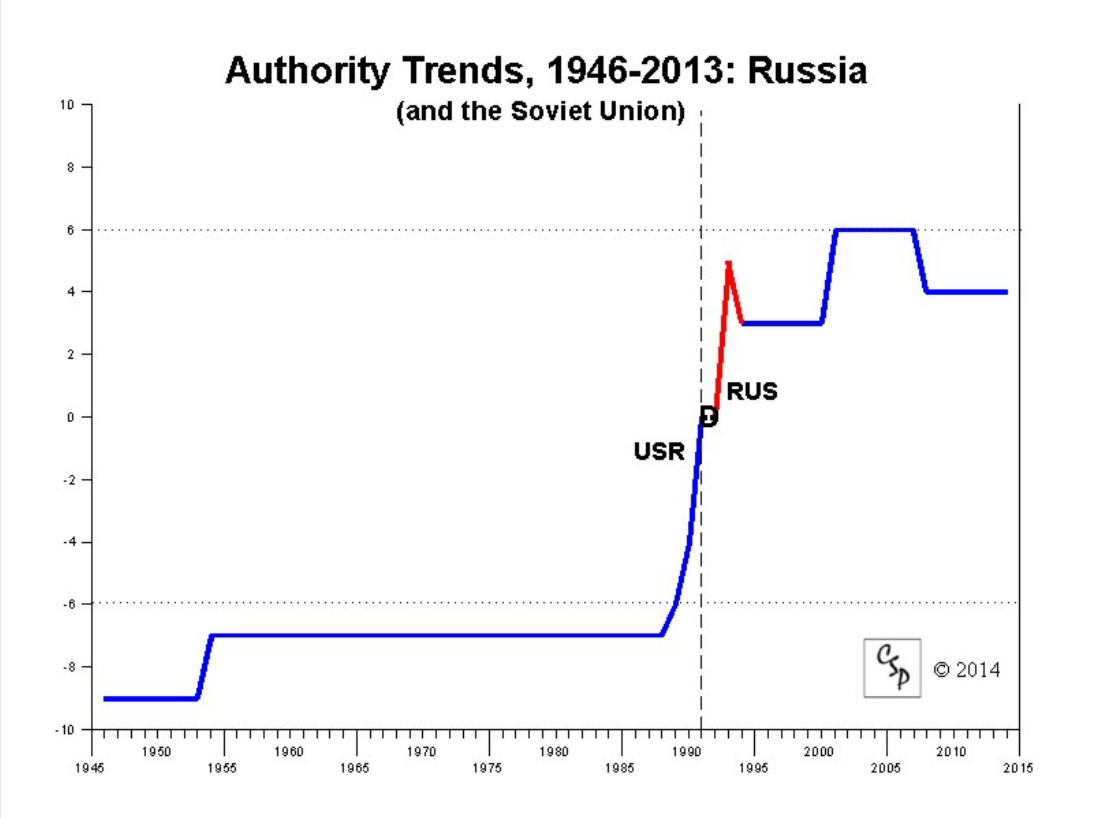
When does a transition happen?



When does a transition happen?



Zooming in on polity



- Does this mean that the country is on the brink of transitioning?
- Has a transition already started?

Huntington: Three Waves of Democracy

1. 1828-1926: American and French revolutions, WWII
2. 1943-1962: Italy, West Germany, Japan, Austria, etc.
3. 1974-: Greece, Spain, Portugal, Latin America, Africa, etc.

Types of transition

- **Bottom-up transition:** People rise up to overthrow an authoritarian regime in a popular revolution `(e.g. Jasmine Revolution in Tunisia 2011)`
- **Top-down transition:** Ruling elite introduces liberalizing reforms that ultimately lead to democratic transition `(e.g. Chile 1989)`
- Most transitions have a component of both
- Hard to pinpoint a beginning or end, yet transitions always seem unavoidable in retrospective

Why is it tricky to classify transitions?

Some general findings from recent years:

- Dictators have incentives to craft transitions to democracy in a way that benefits them and their supporters
- Revolutions fail when there is no alternative elite that can credibly replace the ruling elite
- So all bottom-up transitions have a top-down component (and the other way around!)

Bottom-up transitions

- How can we explain them?
- Why are revolutions so rare and hard to predict?
- Why do dictatorships seem so stable beforehand but so fragile after the fact?

Collective action theory

- Groups of individuals pursuing an objective, usually public goods

	Excludable	**Non-excludable**
Rivalrous	Private goods	Common-pool resources
Non-rivalrous	Club goods	**Public goods**

- **Non-excludability:** Cannot exclude other people from enjoying the public good
- **Non-rivalry:** There is as much for people to enjoy no matter how many people consume it
- **Examples:** Lighthouse, fire station, national park, *democracy*

The problem with public goods

- Everyone benefits from and wants public goods
- Individuals with common interest should coordinate to provide public goods
- However, because of **non-excludability** and **non-rivalry**, individuals have incentives to consume the good without contributing
- This is the **free-rider** problem

An example

- There is a group of N individuals
- Everyone would benefit from a protest that sparks a transition to democracy
- If K people participate, the public good is provided
- The value of the public good for each individual is B
- Cost of participating is C
- Assume $B > C$

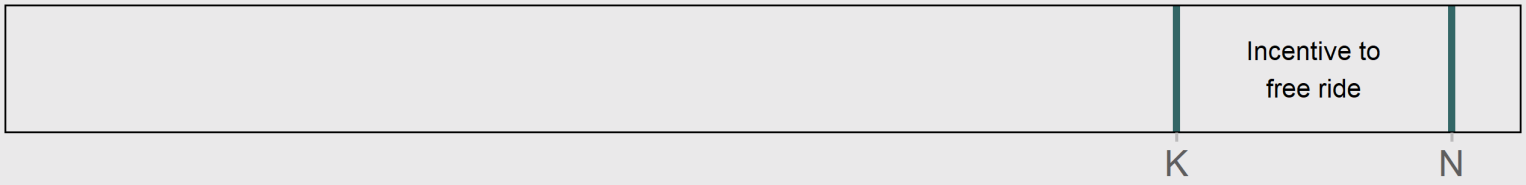
Public goods game

TABLE 8.1 **Pro-Democracy Protest: Do I Participate or Not?**

	Scenario 1 (Fewer than $K-1$ participate)	Scenario 2 (Exactly $K-1$ participate)	Scenario 3 (K or more participate)
Participate	$-C$	$\underline{B-C}$	$B-C$
Don't participate	$\underline{0}$	0	$\underline{B}$

- Two equilibria:
  1. No one participates
  2. Exactly K people participate
- To obtain a public good, we need **exactly** K people who believe they are the only ones likely to contribute
- Whether collective action succeeds depends on $N-K$ and the size of N

Visualizing the public goods game



- $K < N$ creates incentives to free-ride
- Incentive gets smaller as K approaches N
- At $K = N$ no one has incentives to free ride
- Collective action more successful when:
  - The difference between K and N is small
  - N is small
  - In both cases people are more likely to believe their contribution matters

What does this mean for bottom-up transitions?

- Smaller groups are more likely to coordinate and protest against a regime
- But smaller groups are also more easily repressed
- Perhaps this is why many visible revolutions fail
- Many people living under a dictatorship share a common interest of overthrowing the regime, but this does not imply that everyone will take action
- But we do see revolutions! How can we explain participation in light of the collective action problem?

Tipping models

- Individuals must choose whether to publicly support or oppose the dictatorship
- **Preference falsification:** Because it is dangerous to reveal opposition, individuals *falsify* their true preference in public
- Bigger protest $\rightarrow$ lower chance of being individually punished by the dictatorship
- Each individual has a number at which they would feel safe joining the protest
- We call this a **revolutionary threshold**

A tipping model in action

https://youtu.be/fW8amMCVAJQ

Revolutionary thresholds

- The distribution of revolutionary thresholds in a society explains whether a revolt becomes a revolution
- Suppose we need 10 people to overthrow the regime
- A **revolutionary cascade** happens when one's participation triggers another, and that person triggers another, and so on

$A = \{0, \underline{2}, 2, 3, 4, 5, 6, 7, 8, 10\}$ **no revolt**

$B = \{0, \underline{1}, 2, 3, 4, 5, 6, 7, 8, 10\}$ **nine person cascade**

$C = \{0, \underline{1}, \underline{3}, 3, 4, 5, 6, 7, 8, 10\}$ **two person revolt, no cascade**

Changes in thresholds

- Small changes in economic, political, and social conditions may lead to changes in the distribution of revolutionary thresholds
- Small changes in the distribution of revolutionary thresholds may cascade very quickly (or not)
- Because of **preference falsification**, we can be at the brink of a revolution and never know it
- But preference falsification **works both ways!** Supporters of a dictatorship may shift to pro-democracy protests as a revolutionary cascade snowballs

Top-down transitions

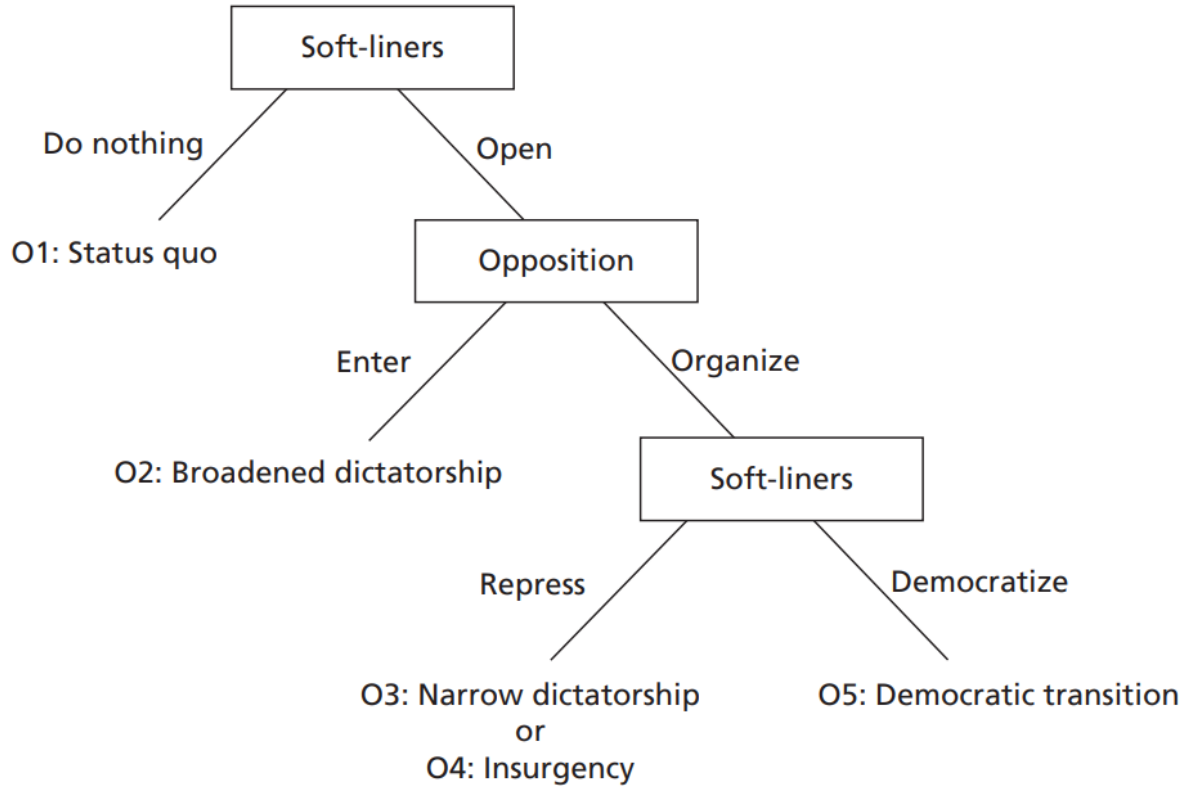
- Dictatorial ruling elite introduces **liberalizing reforms** that ultimately lead to a transition
- **Liberalization:** Controlled opened of the political space. Including things like:
  - Allowing the formation of political parties
  - Holding elections
  - Establishing a judiciary
  - Opening a legislature
- Why would dictators want to do this?
  - **Short answer:** Balance support within their coalition (*selectorate*)

Long answer

- A split between **soft-liners** and **hard-liners**
- The split happens because of declining economic conditions or social unrest
- **Hard-liners:** They like the status quo
- **Soft-liners:** Prefer to liberalize and broaden the social base of the dictatorship
- Soft-liners must decide whether to stick with the status quo or liberalize
- This is a game between the **soft-liners** and the **opposition** to the regime

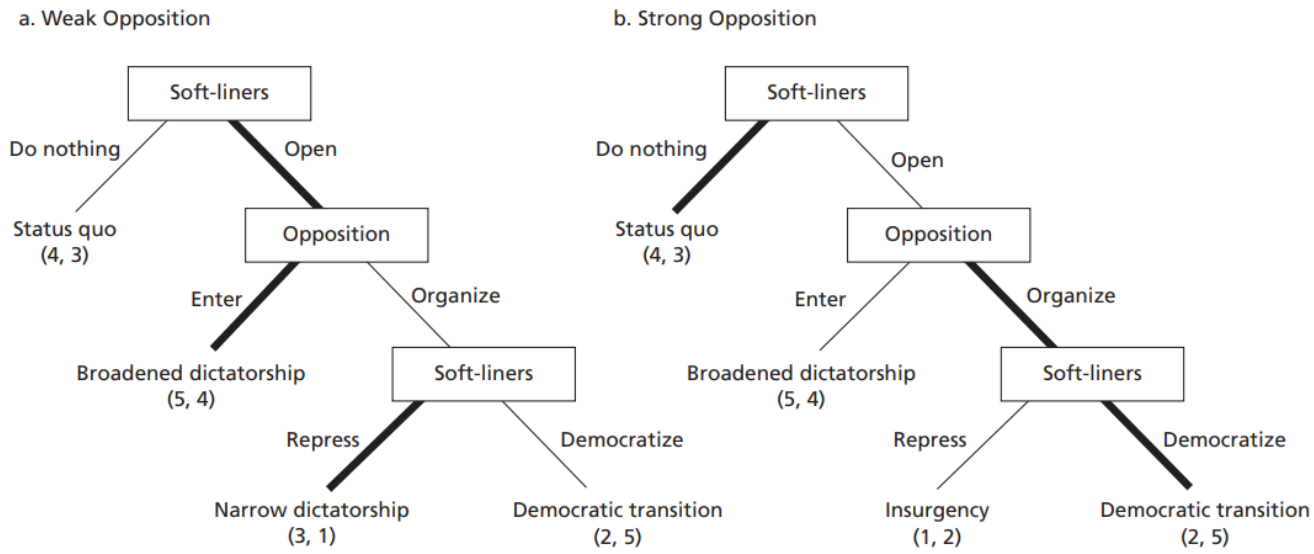
Transition game

FIGURE 8.2 **Transition Game without Payoffs**



Two versions of the game

FIGURE 8.3 **Transition Game with Payoffs**



The subgame perfect equilibrium is (Open, Repress; Enter).

The subgame perfect equilibrium is (Do nothing, Democratize; Organize)

How do we know what version of the game we are playing?

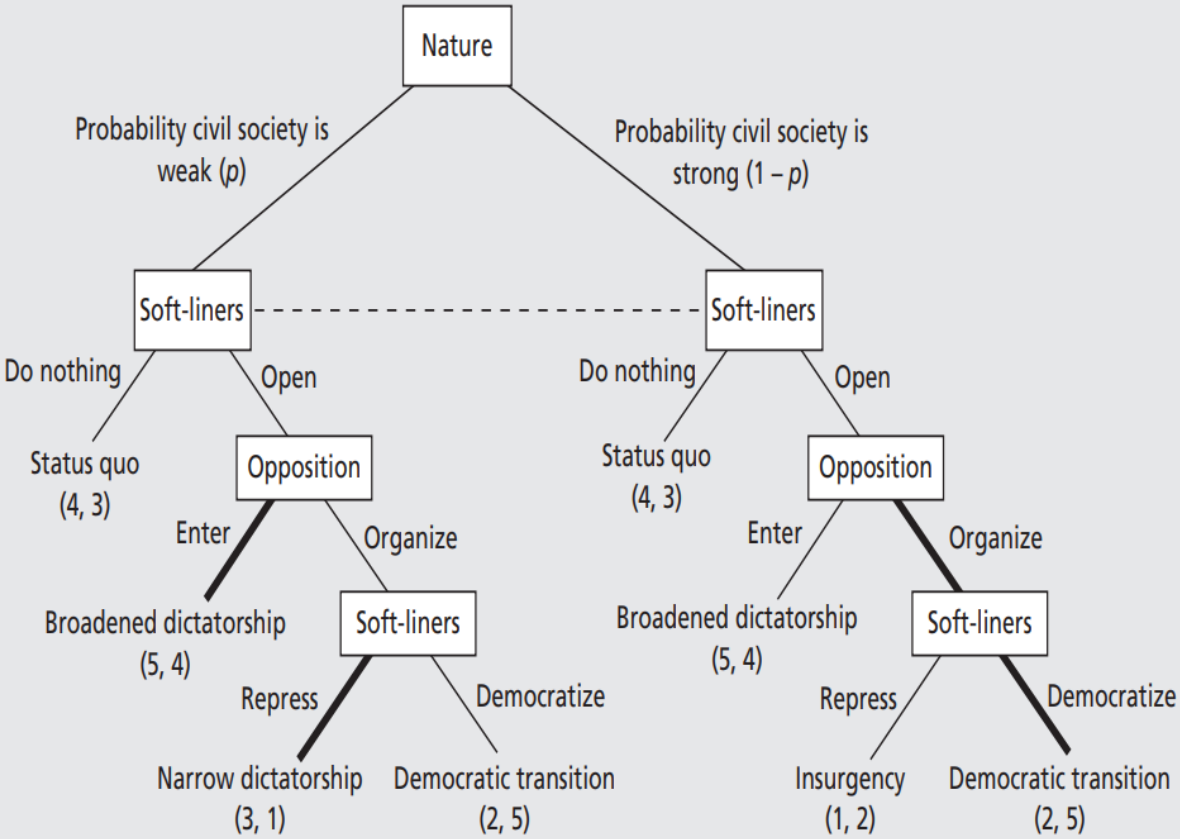
Reminder

	Information	
Order	**Perfect**	**Imperfect**
Simultaneous	Nash Equilibrium	Bayesian Nash Equilibrium
Extensive	Subgame Perfect Equilibrium	Perfect Bayesian Equilibrium

- Transition game is an **extensive game with imperfect information**
- The idea of a **Bayesian** equilibrium suggests that outcomes and payoffs depend on beliefs about which state of the world we are in

The Bayesian version of the game

FIGURE 8.4 **Incomplete Information Transition Game**



Solving the transition game

- **Don't**
- It involves making statements about the probability of each state of the world and doing deceptively tricky math
- We won't have one equilibrium, but a set of equilibria depending on the value of p
- The important parts are:
  - The soft-liners liberalize when they believe the opposition in civil society is weak `(bottom-up component)`
  - Liberalization pays off when the soft-liners' beliefs are correct
  - As it stands, the game never ends up in democracy
  - **Top-down transitions** only happen when **someone makes a mistake**

Implications of the top-down model

- Bringing up the notion of **beliefs about the world** opens the door for a lot more strategic nuance:
  - Some dictatorships may repress more than strictly necessary if they over-estimate the strength of civil society `(Hence why a lot of them appear overly violent)`
  - A strong democratic opposition has incentives to avoid revealing its strength `(Explains why some opposition movements remain undercover)`
- Incomplete information games highligh the importance of **information** and **beliefs** in politics

Takeaways

- Transitions to democracy have been more common in recent years
- We have **bottom-up** and **top-down** transitions
- They are hard to predict, but unavoidable in retrospective
- In bottom-up transitions, this is because of **preference falsification** and **tipping points**
- In top-down transitions, this is because of a **split in the support base** and **incomplete information**
- Some extensions of the models we used to understand transitions also help us understand the **political behavior of citizens and elites in a dictatorship**

Reminder:

News Report 3 Due Friday 5:00 PM

Next Week:

Democracy vs. Dictatorship